



Agency 5/6, 7/6 & 10/6 SOFR ARMs

Mortgage insurance providers may have additional restrictions not listed within this document. Please refer to each mortgage insurance company's website for complete eligibility details.

PRIMARY RESIDENCE – PURCHASE AND RATE/TERM REFINANCE

Property Type	Maximum LTV	Maximum CLTV ¹ /HCLTV	Underwriting Engine & Required Response	Minimum Credit Score
1-Unit Warrantable Condo PUD	95%	95%	DU – <i>Approve/Eligible</i> Or LPA – <i>Accept</i>	NA
2-Unit	85%	85%	DU – <i>Approve/Eligible</i> Or LPA – <i>Accept</i>	
3 to 4-Unit	80%	80%	LPA – <i>Accept</i> (Freddie Mac-eligible only)	
	75%	75%	DU – <i>Approve/Eligible</i> Or LPA – <i>Accept</i>	

PRIMARY RESIDENCE – CASH-OUT REFINANCE

Property Type	Maximum LTV	Maximum CLTV ¹ /HCLTV	Underwriting Engine & Required Response	Minimum Credit Score
1-Unit Warrantable Condo PUD	80%	80%	DU – <i>Approve/Eligible</i> Or LPA – <i>Accept</i>	NA
2 to 4-Unit	75%	75%	DU – <i>Approve/Eligible</i> Or LPA – <i>Accept</i>	

SECOND HOME – PURCHASE & RATE/TERM REFINANCE

Property Type	Maximum LTV	Maximum CLTV ¹ /HCLTV	Underwriting Engine & Required Response	Minimum Credit Score
1-Unit Warrantable Condo PUD	90%	90%	DU – <i>Approve/Eligible</i> Or LPA – <i>Accept</i>	620

SECOND HOME – CASH-OUT REFINANCE

Property Type	Maximum LTV	Maximum CLTV ¹ /HCLTV	Underwriting Engine & Required Response	Minimum Credit Score
1-Unit Warrantable Condo PUD	75%	75%	DU – <i>Approve/Eligible</i> Or LPA – <i>Accept</i>	620



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INVESTMENT PROPERTY – PURCHASE				
Property Type	Maximum LTV	Maximum CLTV ¹ /HCLTV	Underwriting Engine & Required Response	Minimum Credit Score
1-Unit Warrantable Condo PUD	85%	85%	DU – <i>Approve/Eligible</i> Or LPA – <i>Accept</i>	620
2 to 4-Unit	75%	75%	DU – <i>Approve/Eligible</i> Or LPA – <i>Accept</i>	

INVESTMENT PROPERTY – RATE/TERM REFINANCE ²				
Property Type	Maximum LTV	Maximum CLTV ¹ /HCLTV	Underwriting Engine & Required Response	Minimum Credit Score
1-Unit Warrantable Condo PUD	85%	85%	LPA – <i>Accept</i> (Freddie Mac-eligible only)	620
	75%	75%	DU – <i>Approve/Eligible</i> Or LPA – <i>Accept</i>	
2 to 4-Unit	75%	75%	DU – <i>Approve/Eligible</i> Or LPA – <i>Accept</i>	

INVESTMENT PROPERTY – CASH-OUT REFINANCE ²				
Property Type	Maximum LTV	Maximum CLTV ¹ /HCLTV	Underwriting Engine & Required Response	Minimum Credit Score
1-Unit Warrantable Condo PUD	75%	75%	DU – <i>Approve/Eligible</i> Or LPA – <i>Accept</i>	620
2 to 4-Unit	70%	70%	DU – <i>Approve/Eligible</i> Or LPA – <i>Accept</i>	

1. Maximum CLTV refers to the maximum combined loan-to-value of drawn and outstanding liens secured by the subject property. Maximum HELOC CLTV refers to the maximum potential combined loan-to-value of all liens using the full amount of the line of credit. All loans must meet the LTV, CLTV and HELOC CLTV criteria.
2. Investment Property loans sold to Freddie Mac are restricted to 7/6 and 10/6 ARM when borrower has more than one financed investment property.

PROGRAM SUMMARY

This is an intermediate term adjustable-rate mortgage loan program with an initial fixed rate period of 5, 7 or 10 years depending on the product selected. Upon the expiration of the fixed-rate term the program allows for increases or decreases to the interest rate every six months.

PRODUCTS OFFERED

Product Name	Term	DO/DU ARM Plan	ARM Disclosure
Agency 5/6 SOFR ARM	30 years	FM GENERIC, 5 YR	Doc. #3383 or Equivalent
Agency 7/6 SOFR ARM	30 years	FM GENERIC, 7 YR	Doc. #3384 or Equivalent



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Product Name	Term	DO/DU ARM Plan	ARM Disclosure
Agency 10/6 SOFR ARM	30 years	FM GENERIC, 10 YR	

LOAN AMOUNTS

MAXIMUM

Maximum standard conforming loan limits for 1 to 4-unit property (high-cost area limits, except for standard AK, HI, and USVI, are not eligible under this program).

ELIGIBLE PROPERTY TYPES

- 1 to 4-unit properties
- Fannie Mae/Freddie Mac-warrantable condominiums
- Planned Unit Developments (PUDs)
- Modular homes

INELIGIBLE PROPERTY TYPES

- Non-Fannie Mae/Freddie Mac-warrantable condominiums
- Cooperative properties
- Manufactured homes

MINIMUM CREDIT SCORES

Refer to the [Product Eligibility Grids](#) above. Mortgage insurers may have additional restrictions. All scores must meet the credit score validation requirements outlined in the *Conventional Underwriting Guidelines*.

QUALIFYING RATE

- 5/6 ARM - Greater of fully-indexed or Note rate plus 2%
- 7/6 and 10/6 ARM - Greater of fully-indexed or Note rate

QUALIFYING RATIOS

Ratios are determined by Desktop Underwriter (DU) or Loan Product Advisor (LPA). Refer to mortgage insurance companies for additional restrictions.

RESERVES

Reserves are determined by DU/LPA.

SUBORDINATE FINANCING

Refer to the Subordinate Financing section of the [Conventional Underwriting Guidelines](#) for details.

Community seconds subsidized subordinate financing eligible up to maximum CLTV/HCLTV as indicated in eligibility grids above. Community seconds may be eligible from a state, local or municipal authority or agency, a 501(c)(3) not-for-profit corporation, a tax exempt religious organization or the borrower's employer. Flagstar Bank must review all community second programs for eligibility. Refer to *Community Seconds Programs*, [Doc. #5932](#), for documentation requirements.

INTERESTED PARTY CONTRIBUTIONS

Interested party contributions include funds contributed by the property seller, builder, real estate agent/broker, mortgage lender, or any other party with an interest in the real estate transaction. Interested party contributions may be used exclusively to cover closing costs and prepaid expenses.

INTERESTED PARTY CONTRIBUTION LIMITS

CLTV	Up to 75%	75.01 - 90%	90.01 – 95%
Primary Residence	Maximum 9%	Maximum 6%	Maximum 3%
Second Home			N/A
Investment Property	Maximum 2%	Maximum 2%	

TEMPORARY BUYDOWNS

Not eligible

UNDERWRITING

All loans must meet the parameters as set out in the [Conventional Underwriting Guidelines](#).

TEXAS REFINANCE LOANS

All refinance loans in Texas will be evaluated against the criteria outlined in our [Conventional Underwriting Guidelines](#), *Texas Refinances* section to determine if the loan must be originated under the requirements of Section 50(a)6 of the Texas Constitution. Texas Home Equity loans are eligible under the program. Refer to *Texas Homestead 50(a)(6) Refinance*, [Doc. #5907](#) for eligibility, documentation/disclosure, and title/closing requirements.

MORTGAGE INSURANCE

STANDARD MORTGAGE INSURANCE GUIDELINES

All loans above 80% LTV require mortgage insurance coverage according to the following guidelines:

LTV	Coverage
90.01-95%	30%
85.01-90%	25%
80.01-85%	12%

NEW YORK PROPERTIES

See [Conventional Underwriting Guidelines](#).

For Single Financed Mortgage Insurance (SFMI) and Lender Paid Mortgage Insurance (LPMI) eligibility see *Single Financed Mortgage Insurance (SFMI) & Lender Paid Mortgage Insurance (LPMI) Matrix*, [Doc. #5010](#).

STATE ELIGIBILITY

Available in the following states/territories with restrictions. States/territories not listed above are available without restrictions.

State	Restriction
New York	Refer to the Mortgage Insurance section above for MI coverage calculation requirements.
Texas	See Texas Refinance Loans section above.
Puerto Rico	Not eligible
US Virgin Islands	MI not available

PREPAYMENT PENALTY

None

ADJUSTABLE RATE DETAILS

Interest Rate Adjustment Caps	5/6 ARM: Initial – 2% up/down; Subsequent – 1% up/down; Lifetime – 5% up
	7/6 and 10/6 ARMs: Initial – 5% up/down; Subsequent – 1% up/down; Lifetime – 5% up
Margin	See Price Indication Sheet
Index	30 Day SOFR (Secured Overnight Financing Rate)
Interest Rate Floor	The interest rate floor is equal to the margin
Change Dates ⁵	5/6 - The first change date is the 60th payment due date. There is a new Change Date every 6 months thereafter.
	7/6 - The first change date is the 84th payment due date. There is a new Change Date every 6 months thereafter.
	10/6 - The first change date is the 120th payment due date. There is a new Change Date every 6 months thereafter.
Conversion Option	None
Assumption	Subject to conditions, fees and rate adjustment
Negative Amortization	None

CLOSING DOCUMENTATION – CORRESPONDENT TRANSACTIONS

Closing docs may be ordered through Flagstar's Web Based Closing Docs (WBCD) service available in Loantrac.

ALL LOANS

- Fannie Mae/Freddie Mac Uniform Security Instrument, 3000-series
- Standard title commitment with all applicable endorsements, including the variable-rate endorsement (Endorsement 6.1)

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- Fannie/Freddie multi-state Adjustable Rate Note, Form# 3442
- Fannie/Freddie multi-state Adjustable Rate Rider, Form# 3142

IF APPLICABLE

- Fannie Mae/Freddie Mac multi-state Condo Rider, Form# 3140



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- Fannie Mae/Freddie Mac multi-state PUD Rider, Form# 3150
- Fannie Mae/Freddie Mac multi-state 1-4 Family Rider, Form# 3170 (for 2 to 4-unit primary residences and all investment property mortgages)
- Fannie Mae/Freddie Mac multi-state Second Home Rider, Form# 3890